

6. Full and Final (F&F) Settlement

You need to calculate the final amount to be paid based on the monthly salary and the encashment of unused paid leaves. You also need to account for any recoveries due to missing assets or shortfall in notice period. If the net settlement amount is payable i.e. payment exceeds the recoveries, the amount is transferred to the employee bank account. If net settlement amount is negative i.e. recoveries are more than payment, the employee is asked to pay the F&F amount. You may decide to waive the recovery for death cases and involuntary exits. Typically the service letter or experience letter is issued post Full and Final (F&F) settlement.

